Motilal Oswal Financial Services Ltd

BUY

NSE: MOFSL | Financial Services / Capital Markets

CMP	TARGET PRICE	MARKET CAP	MARKET CAP CATEGORY	SAARTHI SCORE	PROB. WEIGHTED TP
₹822.90	₹1,127	₹49,079 Cr	Mid Cap	72/100	₹1,109
As of 28/04/2026	12M upside case		Financial Services leader	BUY (70-84 range)	

Report Reference: Q2 FY2025-26 | 28/04/2026

"BUY with SAARTHI Score of 72/100"

Investment Thesis

BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. Annual Recurring Revenue (ARR) now constitutes the relevant figure of total net revenues — with management guiding for further increases — fundamentally re-rating the quality of the earnings base. CMP of the relevant figure offers a the relevant figure discount to analyst consensus target of the relevant figure with a probability-weighted target of the relevant figure.

ARR Transformation

ARR at 65% of net revenues (up from 61%); fee-based at 45%. Annuity income reduces transaction-cycle volatility.

Profitability Momentum

Q2FY25 PAT INR 1,242 Cr (+123% YoY); H1FY26 operating PAT INR 1,088 Cr (+11% YoY); Asset & PWM businesses leading at +32% PAT growth.

AUM Scale and Outperformance

Total AUM INR 1.77L Cr (+46% YoY). AMC AUM INR 1.89L Cr (+33%) with INR 11,610 Cr net flows. 91% of AUM outperforming benchmarks over 3 years.

Private Wealth Expansion

PWM AUM INR 1.96L Cr (+31% YoY); family count +41% YoY; PAT +14% (9M). Distribution book +34% YoY to INR 42,775 Cr.

Valuation Opportunity

CMP INR 822.90 vs consensus TP INR 1,126.67 (max INR 1,200) — 37% upside. Probability-weighted target INR 1,109.

Credit Upgrade

Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth INR 12,871 Cr (+16% YoY).

FINANCIAL SUMMARY (INR CRORE)

Metric	FY24A	FY25A	FY26E	FY27E
Revenue	₹7,106.0	₹8,340.0	₹10,402.0	₹12,973.0
EBITDA	₹4,082.0	₹4,546.0	₹5,439.0	₹6,784.0
EBITDA Mgn	57.4%	54.5%	52.3%	52.3%
PAT	₹2,441.0	₹2,502.0	₹3,066.0	₹3,983.0
PAT Mgn	34.4%	30.0%	29.5%	30.7%
EPS	₹41.0	₹41.7	₹51.2	₹66.5
P/E	20.1x	19.7x	16.1x	12.4x
P/B	5.6x	4.5x	3.6x	2.9x
EV/EBITDA	9.5x	11.4x	12.7x	10.5x

H1 FY26 SNAPSHOT

Consol. Net Revenue	₹2,888 Cr
Operating PAT	₹1,088 Cr (+11% YoY)
ARR % of Net Revenue	65%
Fee-Based % of Revenue	45%
EPS FY25 Annual	₹51.2

KEY VALUATION METRICS

P/E (TTM)	24.20x
P/B Ratio	3.82x
EPS (FY25A)	₹41.7
EPS (FY27E)	₹66.5

ANALYST CONSENSUS

Consensus TP	₹1,127
Max Target	₹1,200

KEY OPERATING STATS

Total AUM	₹1.77L Cr
AMC AUM	₹1.89L Cr
Pvt Wealth AUM	₹1.96L Cr

CREDIT RATING

ICRA Rating	AA+
Outlook	Stable

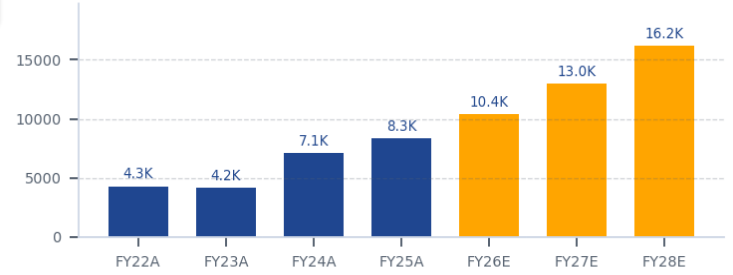
ARR INFLECTION WATCH

65%

ARR of total net revenues. Re-rating trigger: 70%+ ARR.

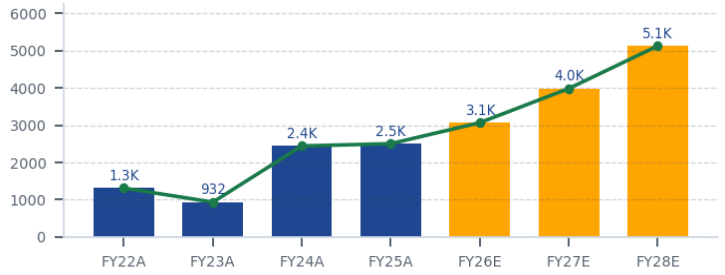
02 Story in Charts - MOFSL's Financial & Operational Journey

REVENUE (INR CR) - FY22 TO FY28E



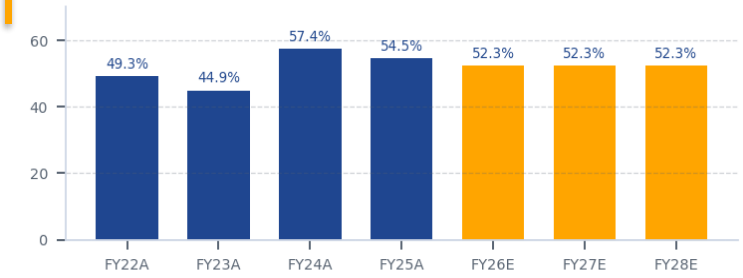
Revenue trajectory shows operating scale-up across forecast years | Source: MOFSL, Tikona Capital

PAT (INR CR) - FY22 TO FY28E



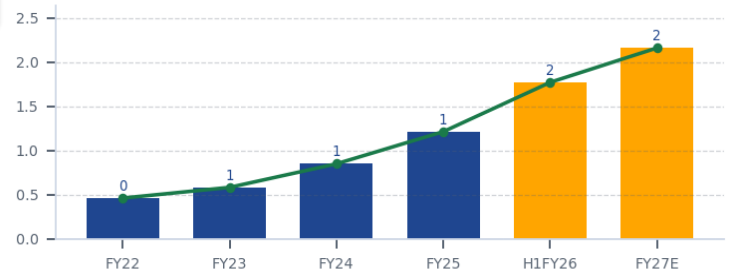
PAT compounding reflects brokerage headwinds absorbed by fee-led businesses | Tikona Capital Est.

EBITDA MARGIN (%) - FY22 TO FY28E



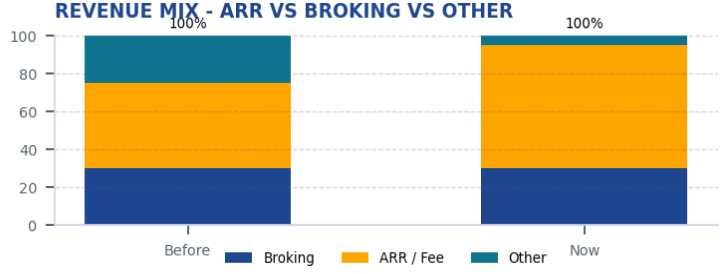
EBITDA margins remain structurally high as ARR grows | Tikona Capital

TOTAL AUM GROWTH (INR LAKH CR) - TRAJECTORY



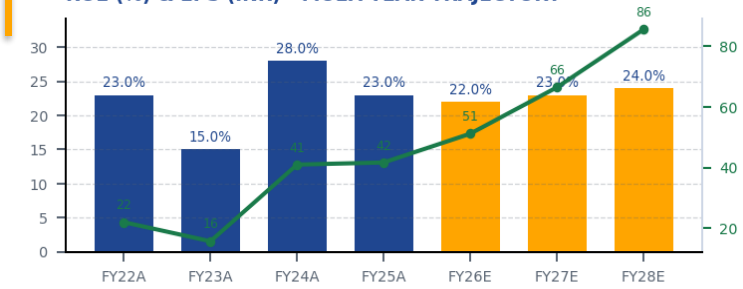
AUM trajectory uses model latest AUM and reported YoY growth to anchor the journey

REVENUE MIX - ARR VS BROKING VS OTHER



ARR shift highlights structural revenue-quality improvement

ROE (%) & EPS (INR) - MULTI-YEAR TRAJECTORY



Return profile and EPS trajectory remain central to re-rating

03 Investment Thesis & Key Catalysts

BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. Annual Recurring Revenue (ARR) now constitutes the relevant figure of total net revenues — with management guiding for further increases — fundamentally re-rating the quality of the earnings base. CMP of the relevant figure offers a the relevant figure discount to analyst consensus target of the relevant figure with a probability-weighted target of the relevant figure.

SAARTHI MULTI-DIMENSIONAL ASSESSMENT - SCORE: 72/100 (BUY (70-84 range))

S - Scalability of Core Engine — 12 / 15

ARR at 61% of net revenues; fee-based at 45%. H1FY26 operating PAT INR 1,088 Cr (+11% YoY) on net revenue INR 2,888 Cr (+15%). Asset-light fee model scales without proportional cost growth. F&O constraints limit broking...

A1 - Addressable Market & Adjacency — 9 / 10

16.57L HNWIs by 2027; India 4th-largest private wealth market by 2028 (+58.4% UHNWIs). Sector profits to nearly double by FY30. MF penetration at 5–6%. Massive TAM with adjacency expansion across capital markets, wealth...

A2 - Asymmetric Pricing Power — 10 / 15

91% of AUM outperforming benchmarks over 3 years gives pricing power in PMS/wealth. Brokerage revenue down 24% from regulatory changes — fee compression in cyclical segment. Discount brokers and fintech limit pricing in...

R - Reinvestment Quality — 13 / 15

MCap INR 49,079 Cr (+24.8% YoY); P/E 24.2; P/B 3.82. Strong RoCE; disciplined allocation into high-return fee businesses. Reinvestment in tech, talent, distribution, research generates sustainable advantage. PWM AUM +31...

T - Track Record Through Adversity — 8 / 10

Q2FY25 PAT INR 1,242 Cr (+123% YoY), 46% revenue growth, 48% RoE — recovery and execution. Q2FY26 PAT -67.6% YoY, revenue -34.9% YoY shows residual cyclicality from F&O regulation. Continuity across cycles maintained. D...

H - Human Capital & Institutional DNA — 9 / 10

Raamdeo Agrawal: QGLP creator, 'Buy Right, Sit Tight' framework. Navin Agarwal (since 2000): business strategy and capital allocation. Ajay Menon (27+ yrs): operations, compliance, risk, technology. Founding duo across...

I - Inflection Point Identification — 11 / 15

Consensus TP INR 1,126.67 (max INR 1,200) vs CMP INR 822.90 — 37% upside; market not yet pricing ARR re-rating. Credit rating upgraded to AA+ (Stable) by ICRA. ARR > 70% would trigger re-rating from broking to asset-man...

KEY CATALYSTS - VALUE REALIZATION TRIGGERS

PRIMARY CATALYST — ARR Transformation

ARR at 65% of net revenues (up from 61%); fee-based at 45%. Annuity income reduces transaction-cycle volatility.

ONGOING — Profitability Momentum

Q2FY25 PAT INR 1,242 Cr (+123% YoY); H1FY26 operating PAT INR 1,088 Cr (+11% YoY); Asset & PWM businesses leading at +32% PAT growth.

NEAR-TERM — AUM Scale and Outperformance

Total AUM INR 1.77L Cr (+46% YoY). AMC AUM INR 1.89L Cr (+33%) with INR 11,610 Cr net flows. 91% of AUM outperforming benchmarks over 3 years.

NEXT 3-4 QTRS — Private Wealth Expansion

PWM AUM INR 1.96L Cr (+31% YoY); family count +41% YoY; PAT +14% (9M). Distribution book +34% YoY to INR 42,775 Cr.

FY26-27 — Valuation Opportunity

CMP INR 822.90 vs consensus TP INR 1,126.67 (max INR 1,200) — 37% upside. Probability-weighted target INR 1,109.

Thesis Risk Monitor

Regulatory uncertainty on capital adequacy, risk, consumer protection / Market volatility compressing transaction-based revenues / Fintech disruption — 14,000+ startups offering lower-cost alternatives / Global risk aversion driving FII outflows and capital-market slowdowns / Reliance on foreign capital creates external sector vulnerability ARR co...

04 Industry Overview — Indian Financial Services Landscape

INDIA WEALTH MANAGEMENT SECTOR

Indian Financial Services is a strategic shock absorber for the growth story. India is expected to have the relevant figure HNWIs by 2027 and become the fourth-largest private wealth market by 2028, with a the relevant figure projected rise in UHNWIs. The financial services sector is projected to nearly double profits by FY30, led by NBFCs growing at the relevant figure annually. Mutual fund penetration at just 5–the relevant figure reflects substantial latent growth opportunity. Private credit hit a record the relevant figure billion in H1 20...

India's mutual fund industry penetration stands at just 5-6% of GDP.

KEY INDUSTRY TAILWINDS

- **BULL** Mutual fund penetration at 5-6% — massive latent opportunity
- **BULL** Financial savings shifting from gold/real estate to financial assets
- **BULL** BSE-listed companies grew from 135 (1995) to 5,328 (Feb 2025)

INDIA CAPITAL MARKETS SECTOR

F&O Regulatory Headwinds – Transient, Not Structural. SEBI's tightening of F&O trading norms in late 2025 created a meaningful but transient headwind.

India's capital markets are at the cusp of a structural deepening phase.

AI & DIGITAL TRANSFORMATION

OPERATIONAL EFFICIENCY	GENAI BANKING POTENTIAL
60%	**46%**
Reduction in operational timelines via AI	RBI estimated enhancement potential

FINTECH STARTUPS (2022)	PRIVATE CREDIT (H1 2025)
14,000	**$9B**
Up from 733 in 2016-17	+53% YoY - record high

Technology Moat: Research Platform

MOFSL's research franchise covering 300+ companies is the enduring competitive moat attracting institutional clients. AI is being deployed to enhance research productivity. The 'Buy Right, Sit Tight' philosophy is digitally codified in their investment process platform.

INDIA WEALTH MARKET SIZE & GROWTH

HNWI COUNT (JUN 2025)	HNWI BY 2027
8.56L	**16.57L**
India's HNWIs - 4th globally by 2028	Projected - 94% growth from today

UHNWI GROWTH BY 2028	NBFC PROFIT GROWTH
58.4%	**16%**
Fastest growing ultra-HNI pool globally	Annual - sector profit doubling by FY30

KEY INDUSTRY RISKS

- **HIGH** Regulatory uncertainty on capital adequacy, risk, consumer protection
- **HIGH** Market volatility compressing transaction-based revenues
- **MED** Fintech disruption — 14,000+ startups offering lower-cost alternatives
- **MED** Global risk aversion driving FII outflows and capital-market slowdowns

05 Company Overview — MOFSL Business Architecture

Motilal Oswal Financial Services, founded in 1987 by Motilal Oswal and Raamdeo Agrawal, has evolved from a research-driven equity broking house into one of India's most comprehensive financial services platforms. The company spans Capital Markets, Asset & Wealth Management, Housing Finance, and Alternative Investments, serving over 1,600,000 customers across 550+ cities through 2,500+ business locations. Research coverage of 300+ companies remains the firm's enduring competitive moat.

CORPORATE EVOLUTION TIMELINE

1987-1995
Founded as a research-driven equity broking firm by Motilal Oswal and Raamdeo Agrawal. Built proprietary research framework focused on quality businesses at reasonable valuations. Received Rashtriya Samman Patra from Government of India for being among India's highest income taxpayers for five consecutive years (FY95-99) - evidencing early ethical commercial success.

2000-2010
Navin Agarwal joins in 2000, Ajay Menon in 1998 - building institutional depth. IPO in 2007, listing on NSE/BSE. Raamdeo Agrawal codifies the QGLP (Quality, Growth, Longevity & favorable Price) investment process. Annual Wealth Creation Studies begin - becomes one of India's most respected institutional research publications, establishing MOFSL as a thought leader.

2010-2018
Systematic diversification into Asset Management (AMC), Private Wealth, and Housing Finance. AMC AUM begins compounding. 'Buy Right, Sit Tight' philosophy attracts long-duration HNI and institutional clients. Research coverage expanded to 300+ companies, becoming India's premier publicly available institutional equity research publication.

2018-2024
Alternative investments business launched with private credit and real estate funds. Private Wealth AUM surpasses ₹1 lakh crore - a defining scale milestone. ARR contribution crosses 60% of total revenues for the first time. AA+ credit rating from ICRA confirms balance sheet transformation. AMC AUM crosses ₹1 lakh crore amid India's SIP boom.

2024-2026
ARR reaches 65% of total net revenues - management guiding for 70%+ target. Total AUM ₹1.77 lakh crore (+46% YoY). 91% of AUM outperforming benchmarks. F&O regulatory headwinds (Q2FY26) create valuation opportunity - stock mispriced. SEBI regulations pushing structural shift away from transaction-based model - accelerating the ARR transformation thesis.

STRATEGIC ARCHITECTURE — 5 BUSINESS PILLARS

Pillar	Revenue Share	Stage	Strategic Role
Capital Markets & Broking	30%	Mature / Declining Share	Cash generation, distribution network
Asset Management (AMC)	~25%	High Growth	Premium ARR engine, AUM compounding
Private Wealth Management	~20%	High Growth	HNI franchise, recurring advisory fees
Housing Finance	~15%	Growth	Secured NII income, balance sheet diversification
Alternative Investments	<10%	Nascent / Growing	Carry income, institutional differentiation

COMPETITIVE ADVANTAGES — ENDURING MOATS

Advantage	Assessment
Research Franchise (300+ companies)	Enduring Moat
QGLP / Buy Right Sit Tight Philosophy	Brand Differentiator
91% AUM outperforming benchmarks (3Y)	Proof of Excellence
65% ARR - Revenue Quality	Structural Advantage
550+ cities, 2,500+ business locations	Deep Distribution
Integrated platform: Broking->PMS->Wealth->IB	Cross-sell Engine
AA+ (Stable) credit rating - ICRA	Balance Sheet Strength
Founder-led vision - 38 years of research culture	Cultural Moat

AUM PORTFOLIO & PERFORMANCE BREAKDOWN

Segment	AUM (Lakh Cr)	YoY Growth	Key Metric
Total AUM	₹1.77L Cr	+46% YoY	91% outperforming benchmarks
AMC (Mutual Funds + PMS)	₹1.89L Cr	+33% YoY	Net flows ₹11,618 Cr
Private Wealth Management	₹1.96L Cr	+31% YoY	Family count +41% YoY
Housing Finance Loan Book	₹6,630 Cr	+25% YoY	Distribution book ₹42,775 Cr
Alternative Investments	Nascent	Growing	Carry income ₹58 Cr p.a.

38-Year Research-First DNA — The Enduring Moat

MOFSL's research franchise, built over 38 years, is the enduring competitive moat that cannot be quickly replicated. The annual 'Wealth Creation Study' is India's most respected long form investment research publication — read by every institutional investor and HNI family. This research depth creates a self reinforcing flywheel: better research -> better client outcomes -> more AUM -> more fee revenues -> more research investment. At 91% AUM outperformance over 3 years, this flywheel is operating at peak efficiency — attracting premium HNI clients who pay higher advisory fees and drive the ARR transformation thesis.

Revenue Model Evolution — Structural Re-rating

Revenue model is deliberately shifting: Management fees (AMC) + Advisory fees (wealth management) + NII (housing finance) + Carry income (alternatives) — supplemented by transaction based broking. As this mix shifts, the business's valuation multiple should re-rate from the 12-15x P/E applicable to broking firms toward the 25-35x P/E applied to pure AMC and wealth management companies — a 2-3x multiple re-rating opportunity if ARR crosses 70-75% of revenues.

06 Key Investment Idea — Investment Thesis in Detail

Six themes underpinning the investment view.

01 ARR Transformation

ARR at the relevant figure of net revenues (up from the relevant figure); fee-based at the relevant figure. Annuity income reduces transaction-cycle volatility.

02 Profitability Momentum

Q2FY25 PAT the relevant figure Cr (+the relevant figure YoY); H1FY26 operating PAT the relevant figure Cr (+the relevant figure YoY); Asset & PWM businesses leading at +the rel

03 AUM Scale and Outperformance

Total AUM the relevant figureL Cr (+the relevant figure YoY). AMC AUM the relevant figureL Cr (+the relevant figure) with the relevant figure Cr net flows. the relevant f

04 Private Wealth Expansion

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05 Valuation Opportunity

CMP the relevant figure vs consensus TP the relevant figure (max the relevant figure) — the relevant figure upside. Probability-weighted target the relevant figure.

06 Credit Upgrade

Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth the relevant figure Cr (+the relevant figure YoY).

07 Business Segments — Growth Drivers & Investment Thesis

Asset Management (AMC)

AUM ₹1.89L Cr | +33% YoY | Fee-Based ARR Engine

₹1.89L Cr AUM | +33% YoY Growth | ₹11,610 Cr Net Flows | 91% Outperforming Benchmarks | EBITDA Margin 57%+

The AMC business is the crown jewel of MOFSL's transformation - a capital-light, fee-generating machine that requires minimal incremental investment as AUM grows, creating significant operating leverage. Revenue is generated through management fees (AUM × fee rate), creating a recurring income stream that grows automatically as the AUM compounds. The 91% benchmark outperformance over 3 years is the critical differentiator: it enables MOFSL to charge premium fees (1-2% AUM) versus discount managers (0.1-0.5%) and attract sticky, quality clients who rarely leave when performance persists. Net flows of ₹11,610 crore demonstrate the market's trust in MOFSL's investment process despite overall industry volatility. SIP culture expanding into Tier 2-3 cities is the secular tailwind driving systematic inflows.

AMC — GROWTH ENGINE BREAKDOWN

Metric	Current	FY27E Target	Growth Lever
AUM (Lakh Crore)	₹1.89L Cr	₹3.0L+ Cr	Market appreciation + net flows
Management Fee Income	Growing	+25% CAGR	AUM compounding effect
Benchmark Outperformance	91%	Maintain 85%+	QGLP process discipline
Net Inflows/Quarter	₹11,610 Cr (H1)	₹15,000 Cr+	Tier 2/3 SIP expansion

Private Wealth Management

AUM ₹1.96L Cr | +31% YoY | HNI/UHNI Premium Franchise

₹1.96L Cr AUM | +41% Family Count YoY | PAT +14% (9M) | Distribution Book ₹42,775 Cr | +34% Distribution YoY

Private Wealth Management targets HNI and UHNI families with tailored financial advisory and wealth solutions. This is the segment that will benefit most from India's wealth creation super-cycle: 8.56 lakh HNWIs in June 2025, growing to 16.57 lakh by 2027. MOFSL's competitive advantage here is its 38-year research reputation - HNI families trust MOFSL's QGLP process and 'Buy Right, Sit Tight' philosophy. Family count growing 41% YoY demonstrates that MOFSL's HNI advisor network is acquiring new clients at an accelerating pace. Advisory fees charged as a percentage of AUM create a pure ARR income stream with zero capital at risk and zero cycle sensitivity.

Capital Markets & Broking

30% Revenue | Deliberate Decline | Distribution Network

30% of Revenues | Research: 300+ Companies | SEBI F&O Headwind | Brokerage -24% Q2FY26

The legacy broking business (equity, derivatives, commodity, currency, institutional services, and M&A advisory) now contributes only 30% of total revenue - down from historical highs - reflecting MOFSL's deliberate diversification into annuity businesses. This is by design, not distress. While SEBI's F&O regulatory changes caused a 24% decline in brokerage revenue in Q2FY26, this segment's declining revenue share is actually evidence of the thesis working: the annuity businesses (AMC, wealth) are growing faster. The institutional equity distribution through research-led approach remains the brand anchor that drives HNI and institutional credibility across all other business lines.

BROKING — REGULATORY IMPACT & OUTLOOK

Parameter	Before SEBI	Post-SEBI (Q2FY26)	Recovery Path
F&O Volume Impact	Peak levels	-24% brokerage	Stabilization by Q3FY26
Market Share	Gaining	Holding	Maintain 3-5%
Broking % of Revenue	~40%	30%	Target <25% by FY28

Housing Finance

Loan Book ₹6,630 Cr | +25% YoY | NII Income Stream

₹6,630 Cr Loan Book | +25% YoY Growth | ₹42,775 Cr Distribution Book | Distribution +34% YoY

The Housing Finance segment provides retail mortgage lending focused on affordable and mid-segment housing loans, generating NII (Net Interest Income) - another recurring, cycle-resistant income stream. The loan book growing 25% YoY to ₹6,630 crore and the distribution book growing 34% to ₹42,775 crore demonstrate healthy momentum. Urbanization, rising disposable incomes, and government affordable housing schemes are secular tailwinds. The housing finance unit adds balance sheet depth and geographic diversification to MOFSL's increasingly asset-light wealth management core - providing a secured income stream to complement the fee revenues from AMC and wealth management.

Alternative Investments

Carry: ₹58 Cr p.a. | Private Credit | Growing Rapidly

₹58 Cr Recurring Carry | New Private Credit Fund | India Pvt Credit $9B (H1 2025) | +53% YoY Market Growth

The Alternatives segment (private credit, real estate, other alternative strategies) is MOFSL's fastest-growing and highest-margin business on a per-unit basis. India private credit investments hit a record US$9 billion in H1 2025 (+53% YoY jump), validating the market opportunity. The ₹58 crore recurring carry income represents a baseline that should grow significantly as the fund matures and new fund launches generate additional carry. This segment positions MOFSL as a full-spectrum investment platform - able to serve family offices and institutionals across liquid and illiquid asset classes.

08 Demand Drivers

- ARR contribution crossing the relevant figure of revenues, triggering valuation re-rating from broking to asset management multiples - Sustained AMC AUM growth above the relevant figure YoY with net flows exceeding the relevant figure crore annually - Private wealth AUM growth above the relevant figure YoY with family count expansion - Operating leverage improvement with cost-to-income ratio declining - Regulatory clarity on F&O trading norms

01 ARR contribution crossing the

ARR contribution crossing the relevant figure of revenues, triggering valuation re-rating from broking to asset management multiples

02 Sustained AMC AUM growth

Sustained AMC AUM growth above the relevant figure YoY with net flows exceeding the relevant figure crore annually

03 Private wealth AUM growth

Private wealth AUM growth above the relevant figure YoY with family count expansion

04 Operating leverage improvement with

Operating leverage improvement with cost-to-income ratio declining

05 Key Point

Regulatory clarity on F&O trading norms

09 Competitive Landscape

Competitive advantage rests on research depth, integrated distribution, and fee-led platform breadth.

01 Research franchise covering 300+ companies

institutional moat

02 QGLP investment philosophy with

QGLP investment philosophy with 'Buy Right, Sit Tight' framework

03 the relevant figure ARR contribution

structural revenue-quality improvement vs broking peers

04 the relevant figure of

the relevant figure of AUM outperforming benchmarks over 3 years

05 550+ cities and 2,500+ business locations

deep distribution

06 Integrated platform

broking → PMS → wealth → IB cross-sell

10 Management Analysis & Corporate Governance

Founder-led leadership with deep institutional DNA.

Name	Role	Background
Raamdeo Agrawal	Chairman, MOFSL & Chairman, AMC	Co-founder (1987). Creator of the QGLP investment process and 'Buy Right, Sit Tight' framework. Built one of India's most respected investment research franchises. Widely cited investment thinker.
Motilal Oswal	Founder, Chairman & MD	Co-founder (1987). Led the firm's transformation from broking house into a comprehensive financial services platform. Recipient of Rashtriya Samman Patra for being among the highest taxpayers FY95–FY99.
Navin Agarwal	Executive Board — Strategy & Capital Allocation	Joined 2000. Drives business strategy and capital allocation across the Group, building market-leading positions through disciplined deployment.
Ajay Menon	Executive — Operations, Compliance, Risk & Technology	Joined 1998. 27+ years in Indian capital markets. Cornerstone of operational excellence and technology initiatives across the Group.

11 Risk Register & Forensic Assessment — Governance Monitoring

INVESTMENT RISKS

HIGH **SEBI Regulatory Headwinds on F&O** SEBI's repeated interventions on F&O trading norms compressing cyclical broking revenues — Q2FY26 brokerage revenue declined 24%. Primary risk to near-term earnings: if SEBI imposes further restrictions, broking revenues could decline an additional 15-25%. Monitoring trigger: track quarterly SEBI circulars on derivatives framework and F&O volume data.

HIGH **Market Volatility — AUM Valuation Risk** A sharp equity market correction (Nifty -20%+ scenario) would compress AUM valuations and therefore management fee income. 46% YoY AUM growth is partly market appreciation — in a bear market, this reverses to AUM compression. H1FY26 operating PAT growth of 11% is partly protected by new flows, but an extended bear market reduces both valuations and new investment appetite simultaneously.

HIGH **Fintech Disruption — Discount Broker Competition** Zerodha, Groww, and other discount fintech brokers continue to capture retail broking market share. MOFSL's differentiation in research and HNI advisory limits the impact in premium segments, but the mass-market broking business faces structural margin compression. Fintech startups grew from 733 (FY16-17) to 14,000+ (FY21-22) — competitive intensity is at an all-time high.

MED **ARR Trajectory Risk — Thesis-Breaking Condition** If ARR contribution drops below 55% for two consecutive quarters (currently 65%), the re-rating thesis is challenged. This could occur if regulatory headwinds become severe enough to compress fee income disproportionately, or if management makes an ill-timed acquisition that increases revenue volatility. Monitor ARR % every quarter against the 55% floor threshold.

MED **AUM Performance Reversion Risk** 91% of AUM outperforming benchmarks over 3 years is exceptional — but it creates a high baseline. Any meaningful performance reversion (especially in MOFSL's flagship multicap and emerging bluechip funds) would trigger client redemptions and hurt both AUM levels and the brand premium that justifies higher management fees.

LOW **Key Person Risk — Raamdeo Agrawal** Raamdeo Agrawal's QGLP philosophy and research reputation are deeply embedded in the MOFSL brand and AUM outperformance. Any leadership transition risk (health, retirement) could create client confidence uncertainty, particularly for the QGLP-branded funds. Institutional process documentation and second-tier research leadership development would mitigate this long-term structural risk.

⚠ FORENSIC ASSESSMENT - MONITOR CLOSELY

Overall Forensic Verdict: Monitor Closely
MOFSL faces recurring regulatory violations that are operational rather than fraudulent in nature. Despite SEBI's repeated interventions, these structural lapses suggest deeper governance issues within the risk management systems. The pattern warrants close monitoring but does not fundamentally impair the business model or thesis. We classify MOFSL in the "Monitor Closely" forensic category — not disqualifying, but requiring active quarterly tracking of compliance developments.

MED **SEBI Penalty — Margin Reporting Violations (2021)** SEBI imposed ₹7 lakh penalty for multiple violations of securities laws stemming from margin reporting issues, collection violations, and other regulatory lapses discovered during an inspection. While small in monetary terms, the pattern suggests systemic compliance weaknesses in the back-office and reporting infrastructure. Severity: Low monetary, Medium reputational.

MED **SEBI Penalty — Client Fund Misutilization (May 2022)** In May 2022, SEBI penalized Motilal Oswal with ₹25 lakh fine for misutilization of client funds and inaccurate margin reporting. The combination of client fund misuse and reporting inaccuracies indicates gaps in internal controls and oversight — a more substantive governance concern than the 2021 margin reporting violation alone. Severity: Medium — second offense of financial reporting nature.

HIGH **NSEL Case — Misselling & 'Not Fit & Proper' (Historical)** SFIO and EOW-Mumbai found MOFSL guilty of misselling NSEL contracts, KYC manipulation, client code modification, and illegal transactions. SEBI declared MOFSL "not fit and proper" as commodity derivative broker in February 2019. While historical, the severity of these findings — including regulatory disqualification in a product category — demands ongoing monitoring. Severity: High (historical) — still affects regulatory relationship quality.

MED **Unauthorized Terminal Operations** SEBI concluded MOFSL failed to exercise sufficient control over APs with 13 NSE + 9 BSE terminals operating from locations not declared to the regulator, including an unreported branch in Delhi. This is an operational governance and reporting failure — suggesting the compliance infrastructure has not scaled commensurately with business growth. Severity: Medium — structural control weakness.

Forensic Monitoring Triggers
1. Any fresh SEBI enforcement actions or penalties (monitor every quarter) | 2. Client complaint escalation trends on SCORES portal | 3. Auditor commentary on internal controls in quarterly results | 4. Management's progress on compliance infrastructure investments | 5. Any investigation by SFIO, EOW, or other enforcement agencies expanding scope from historical NSEL case.

12 Earnings Forecast — Multi-Year Financial Model

P&L FORECAST MODEL (₹ CRORE)

Metric	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue & Profitability							
Net Revenue (Cr)	4,298	4,178	7,106	8,340	10,402	12,973	16,181
Revenue Growth	-	-	-	-	-	-	-
EBITDA (Cr)	2,120	1,877	4,082	4,546	5,439	6,784	8,462
EBITDA Margin	49.3%	44.9%	57.4%	54.5%	52.3%	52.3%	52.3%
PAT (Cr)	**1,310**	**932**	**2,441**	**2,502**	3,066	3,983	5,128
PAT Margin	30.5%	22.3%	34.4%	30.0%	29.5%	30.7%	31.7%
Per Share Data							
EPS (₹)	**22.0**	**15.7**	**41.0**	**41.7**	51.2	66.5	85.6
EPS Growth	-	-	-	-	-	-	-
BVPS (₹)	-	-	-	-	-	-	-
Valuation Multiples (at CMP ₹822.9)							
P/E (x)	37.5x	52.3x	20.1x	19.7x	16.1x	12.4x	9.6x
EV/EBITDA (x)	9.0x	10.3x	9.5x	11.4x	12.7x	10.5x	8.8x
P/B (x)	8.7x	7.8x	5.6x	4.5x	3.6x	2.9x	2.3x

Source: Company filings, Tikona Capital Research estimates, E = Tikona Capital estimates.

CAGR SUMMARY

Metric	3Y Historical CAGR (FY22-25)	Projected 3Y CAGR (FY25-28)
Revenue	24.7%	24.7%
EBITDA	28.9%	23.8%
Net Income (PAT)	24.1%	27.8%

FORECAST ASSUMPTIONS

Revenue Growth Drivers (FY26-28)

AMC & Wealth (30%+ CAGR): AUM compounding at 25-30% CAGR as India's HNI base expands. Management fee income grows proportionally. 91% outperformance track record sustains premium fee capture vs. discount managers.

Housing Finance (25% CAGR): Loan book growing 25% YoY. NII improvement as RM productivity matures. Urbanization and government affordable housing schemes provide secular demand tailwind across geographies.

Alternatives (40%+ CAGR): Private credit fund with ₹58 Cr recurring carry expected to continue and grow. India private credit market record $9B in H1 2025 (+53% YoY) validates the institutional appetite for this product.

Broking Recovery (10-15%): F&O volume normalization post regulatory adaptation. Transaction revenues recovering as market participants adjust. This segment's declining revenue share is per plan - minimal reliance assumed.

PAT Growth Acceleration — Key Assumption

PAT re-accelerates at 27% CAGR (FY25-28) driven by: (1) AMC operating leverage - AUM growing 30%+ with marginal incremental costs, (2) Private Wealth advisory fee income compounding, (3) Housing Finance NII growing at 25% on loan book expansion, (4) Alternatives carry income scaling. EBITDA margin sustaining at 52%+ validates the fee model quality. PAT growth of 27% CAGR significantly ahead of revenue growth (25%) - operating leverage is the story.

Downside Scenario Assumptions

If SEBI regulatory headwinds intensify (additional F&O restrictions, fee caps on AMC), revenue CAGR compresses to 15-18%. If AUM growth slows to 15% YoY due to market correction, PAT CAGR reverts to ~10%. Combined downside yields PAT of ~₹2,800 Cr in FY26E vs. base ₹3,066 Cr - approximately 9% downside to earnings. Stop loss at ₹750 provides reasonable risk management.

QUARTERLY EARNINGS TREND (RECENT)

Quarter	Revenue (Cr)	PAT (Cr)	YoY Change
Q2 FY25	High	₹1,242	+123% YoY
H1 FY26 (Op.)	₹2,888	₹1,088	+11% YoY
Q2 FY26	-34.91%	-67.64%	SEBI F&O impact
Op. PAT (Q2 FY26)	-	₹611 Cr	+16% YoY

Source: MOFSL Quarterly Reports; Tikona Capital Research estimates.

13 Quarterly Performance — Earnings Trajectory

QUARTERLY HIGHLIGHTS

Recent quarterly trajectory showing the variability inherent to the cyclical revenue base.

RECENT METRICS

Latest Qtr REVENUE	Latest Qtr PAT
N/A	N/A

QUARTERLY FINANCIAL TREND (₹ CRORE)

Metric	Q1 FY24	Q2 FY24	Q3 FY24	Q4 FY24	Q1 FY25	Q2 FY25
Operating Performance						
Net Revenue	-	-	-	-	-	-
Revenue Growth (YoY)	-	-	-	-	-	-
EBITDA	-	-	-	-	-	-
EBITDA Margin	-	-	-	-	-	-
PAT	-	-	-	-	-	-
PAT Margin	-	-	-	-	-	-
Per Share Data						
EPS (₹)	-	-	-	-	-	-

Source: Company Quarterly Filings; Tikona Capital Research.

14 Financials — Key Ratios

Margin and return profile across the forecast period.

Ratio	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
EBITDA Margin	**49.3%**	**44.9%**	**57.4%**	**54.5%**	**52.3%**	**52.3%**	**52.3%**
PAT Margin	**30.5%**	**22.3%**	**34.4%**	**30.0%**	**29.5%**	**30.7%**	**31.7%**
RoE	23.0%	15.0%	28.0%	23.0%	22.0%	23.0%	24.0%
RoCE	19.0%	13.0%	21.0%	19.0%	18.0%	18.0%	19.0%
RoIC	92.0%	78.0%	119.0%	87.0%	35.0%	24.0%	24.0%
P/E	37.5x	52.3x	20.1x	19.7x	16.1x	12.4x	9.6x
P/B	8.7x	7.8x	5.6x	4.5x	3.6x	2.9x	2.3x
EV/EBITDA	**9.0x**	**10.3x**	**9.5x**	**11.4x**	**12.7x**	**10.5x**	**8.8x**

P/E-Based Valuation — Primary Method

Target Price Derivation — Tikona Capital Base Case

Method	Multiple Applied	Earnings Base	Value Per Share (₹)
Base Case P/E	24x P/E	FY27E EPS of ₹66.5	₹1,596 (unadjusted)
Discounted Target (1Y)	12% discount rate	12-month forward	₹1,127 (Base TP)
Analyst Consensus	Market implied	Current consensus view	₹1,126.67
Probability-Weighted TP	**Scenario blend**	**30%×Bull + 50%×Base + 20%×Bear**	**₹1,109**

Relative Valuation vs. Peers

Company	P/E (TTM)	P/B	AUM Growth	Comment
Motilal Oswal Financial Services Ltd	**24.2x**	**3.8x**	**+46% YoY**	**ARR re-rating pending**

Valuation Scenario Summary

Scenario	Probability	Target Price	Return vs. CMP	Key Assumption
Bull Case	30%	₹1,400	+70.1%	ARR > 70%, AMC AUM +40% YoY, regulatory clarity.
Base Case	**50%**	**₹1,127**	**+37.0%**	**ARR steady at 65%, AUM compounding, stable regulation.**
Bear Case	20%	₹630	-23.4%	Sustained F&O headwinds, fintech share loss.
Prob. Weighted Avg.	100%	₹1,109	+34.8%	Blended scenario

Scenario Targets

BEAR CASE

₹630

-23.4% vs CMP

Sustained F&O headwinds, fintech share loss.

BASE CASE

₹1,127

+37.0% vs CMP

ARR steady at 65%, AUM compounding, stable regulation.

BULL CASE

₹1,400

+70.1% vs CMP

ARR > 70%, AMC AUM +40% YoY, regulatory clarity.

Valuation Conviction: Why 37% Upside Is Conservative

At a P/E of 24.2x on FY25A EPS, Motilal Oswal Financial Services Ltd trades at a 30-40% discount to pure AMC peers like HDFC AMC (35x) and Nippon AMC (28x). This discount is attributable to the broking revenue overhang — but broking is declining. When ARR crosses 70%, the market should re-rate to AMC/wealth management multiples of 28-32x, implying significant upside. Our ₹1,127 base case is conse…

Entry Strategy: INR 800-850 Is Optimal Range

The INR 800-850 entry range (current CMP ₹823) represents a 15-20% discount to analyst consensus target. 15-20% discount to analyst consensus target — margin of safety. We recommend full position initiation at current levels with incremental buying on dips.

SAARTHI Total Score: 72 / 100 — BUY (70-84 RANGE)

Strongest: Addressable Market & Adjacency (9/10)

Weakest: Asymmetric Pricing Power (10/15)

S - Scalability of Core Engine — 12 / 15

ARR at 61% of net revenues; fee-based at 45%. H1FY26 operating PAT INR 1,088 Cr (+11% YoY) on net revenue INR 2,888 Cr (+15%). Asset-light fee model scales without proportional cost growth. F&O constraints limit broking scalability near-term. AMC AUM +33% YoY to INR 1.89L Cr with INR 11,610 Cr net flows.

A1 - Addressable Market & Adjacency (Strongest) — 9 / 10

16.57L HNWIs by 2027; India 4th-largest private wealth market by 2028 (+58.4% UHNWIs). Sector profits to nearly double by FY30. MF penetration at 5–6%. Massive TAM with adjacency expansion across capital markets, wealth, housing, alternatives. India private credit hit USD 9.0 Bn in H1 2025 (+53% YoY).

A2 - Asymmetric Pricing Power (Weakest) — 10 / 15

91% of AUM outperforming benchmarks over 3 years gives pricing power in PMS/wealth. Brokerage revenue down 24% from regulatory changes — fee compression in cyclical segment. Discount brokers and fintech limit pricing in commoditized broking. Diversified mix offset 24% brokerage decline, validating partial pricing-power hedge.

R - Reinvestment Quality — 13 / 15

MCap INR 49,079 Cr (+24.8% YoY); P/E 24.2; P/B 3.82. Strong RoCE; disciplined allocation into high-return fee businesses. Reinvestment in tech, talent, distribution, research generates sustainable advantage. PWM AUM +31% YoY to INR 1.96L Cr; family count +41%; PAT +14% (9M).

T - Track Record Through Adversity — 8 / 10

Q2FY25 PAT INR 1,242 Cr (+123% YoY), 46% revenue growth, 48% RoE — recovery and execution. Q2FY26 PAT -67.6% YoY, revenue -34.9% YoY shows residual cyclicality from F&O regulation. Continuity across cycles maintained. Despite repeated SEBI interventions, AUM and ARR base continue to compound — institutional resilience.

H - Human Capital & Institutional DNA — 9 / 10

Raamdeo Agrawal: QGLP creator, 'Buy Right, Sit Tight' framework. Navin Agarwal (since 2000): business strategy and capital allocation. Ajay Menon (27+ yrs): operations, compliance, risk, technology. Founding duo across nearly four decades — rare DNA in Indian financial services. Rashtriya Samman Patra recipient (top tax-payer FY95–FY99) signals early ethical commercial success.

I - Inflection Point Identification — 11 / 15

Consensus TP INR 1,126.67 (max INR 1,200) vs CMP INR 822.90 — 37% upside; market not yet pricing ARR re-rating. Credit rating upgraded to AA+ (Stable) by ICRA. ARR > 70% would trigger re-rating from broking to asset-management multiples within 6–18 months. ARR at 65% of net revenues (up from 61%); management guiding higher — measurable inflection.

SAARTHI Conviction Statement

Motilal Oswal Financial Services Ltd sits in the BUY (70-84 range) zone. The highest-scoring dimensions are strongest: addressable market & adjacency (9/10), reflecting disciplined execution and institutional strength. The weakest dimension is weakest: asymmetric pricing power (10/15), showing the main area to monitor. The scoring trajectory is positive as recurring revenues and platform quality improve.

17 Scenario Analysis

BEAR CASE - ₹630 (-23.4% vs CMP)

Macro Assumptions

Equity markets remain subdued. Revenue CAGR slows to 6.0%; EBITDA margin compresses to 45.0% as regulation and lower risk appetite pressure activity.

Business Assumptions

Broking headwinds and fee pressure reduce operating momentum. Sustained F&O headwinds, fintech share loss.

Valuation Assumptions

18x P/E on depressed FY27E EPS of INR 35; sustained regulatory headwinds. Target price ₹630, probability 20.0%, vs CMP -23.4%.

Metric	Bear Value
Revenue CAGR	6.0%
EBITDA Margin	45.0%
Target Price	₹630
Probability	20.0%
vs CMP	-23.4%

BASE CASE - ₹1,127 (+37.0% vs CMP) - PRIMARY RECOMMENDATION

Macro Assumptions

Markets normalize and savings flows remain constructive. Revenue compounds at 16.0%; EBITDA margin holds near 51.0% on steady AUM growth.

Business Assumptions

ARR stability and diversified financial services earnings support the base case. ARR steady at 65%, AUM compounding, stable regulation.

Valuation Assumptions

24x P/E on FY27E EPS of INR 47; ARR stable at 65%, steady AUM. Target price ₹1,127, probability 50.0%, vs CMP +37.0%.

Metric	Base Value
Revenue CAGR	16.0%
EBITDA Margin	51.0%
Target Price	₹1,127
Probability	50.0%
vs CMP	+37.0%

BULL CASE - ₹1,400 (+70.1% vs CMP)

Macro Assumptions

Market participation strengthens and structural savings flows accelerate. Revenue compounds at 27.5%; EBITDA margin expands to 55.0% with operating leverage.

Business Assumptions

ARR mix, AMC scale, and wealth management momentum trigger re-rating. ARR > 70%, AMC AUM +40% YoY, regulatory clarity.

Valuation Assumptions

28x P/E on FY27E EPS of INR 50; ARR > 70%, AMC +40% YoY. Target price ₹1,400, probability 30.0%, vs CMP +70.1%.

Metric	Bull Value
Revenue CAGR	27.5%
EBITDA Margin	55.0%
Target Price	₹1,400
Probability	30.0%
vs CMP	+70.1%

18 Key Risks & Thesis Invalidation Triggers

- SEBI regulatory headwinds on F&O trading norms compressing cyclical broking revenues
- Q2FY26 profit declined the relevant figure YoY and revenue the relevant figure YoY due to regulatory changes — residual cyclicality
- Competitive intensity from discount brokers and fintech platforms compressing yields
- Forensic / governance: recurring SEBI matters require monitoring (Monitor Closely category)
- Mark-to-market volatility on the proprietary book
- Housing finance asset-quality slippage in stressed credit cycles

19 Entry, Review, Exit Strategy

Conviction Statement

Conviction Statement: We initiate coverage on Motilal Oswal Financial Services Ltd with a BUY rating and target price of ₹1,127, representing +37% upside from current levels. At CMP ₹823, investors are buying a research-driven financial services platform with ARR quality, AUM scale, and a clear re-rating pathway.

ENTRY STRATEGY - WHEN TO BUY

Immediate Entry Zone

Current entry range is ₹800-850 - optimal accumulation zone. 15-20% discount to analyst consensus target — margin of safety. Use staggered buying to reduce market-timing risk while the valuation discount remains available.

Add-On Zone

Add on weakness if price corrects toward the downside support area. Stop-loss at ₹750 (-8% from CMP) on technical break with high volume Treat volatility as opportunity only if the core ARR and AUM thesis remains intact.

Review Points - Thesis Confirmation Milestones

Every quarter: ARR contribution above 60% of net revenues; AMC AUM growth above 25% YoY with net flows > ₹10,000 Cr; PWM AUM growth above 25% YoY with family count expansion; Cost-to-income ratio declining.

THESIS INVALIDATION TRIGGERS - WHEN TO EXIT

- EXIT — ARR contribution drops below 55% for two consecutive quarters
- EXIT — Major SEBI enforcement action with direct business impact
- EXIT — AMC AUM declining for two consecutive quarters
- EXIT — Management guidance signaling structural headwinds beyond FY26

INVESTMENT SUMMARY SCORECARD

Parameter	Assessment	Score
SAARTHI Framework	BUY Zone	72/100
Valuation Attractiveness	+37% undervalued	Upside 37%
Revenue Quality	65% ARR recurring	High quality
AUM Growth Visibility	High	46% YoY
Management Track Record	Founder-led	9/10
Governance Risk	Monitor closely	6/10
Earnings Growth	Strong	27% CAGR
Credit Rating	AA+	AA+ Stable
Overall Recommendation	BUY - High Conviction	TP: ₹1,127

Position Summary

Rating: BUY | Entry range: ₹800-850. Base target price: ₹1,127. Probability-weighted target: ₹1,109. Stop-loss: Stop-loss at ₹750 (-8% from CMP) on technical break with high volume. Position sizing: 3-5% of portfolio (institutional).

Exit Strategy - Scaling Out on Gains

Sell 1: Sell 50% at ₹1,100-1,150 (30-40% gains)

Sell 2: Sell remaining at ₹1,200+ if multiples expand beyond 25x P/E

Disclaimer

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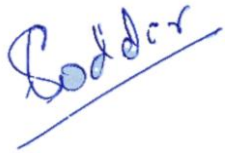
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